Corporate Budget Variance and Transaction Review Policy

This is a fictional policy created for software demonstration purposes only.

1. Purpose

This policy explains how the company monitors differences between approved budgets and actual spending, and how unusual transactions must be reviewed.

2. Definition of Budget Variance

A budget variance is the difference between actual spending and the approved budget for a department, category and month. It is expressed as a percentage of the approved budget.

3. Variance Thresholds and Approvals

3.1 A variance of up to 5 percent requires no action.

3.2 A variance of more than 5 percent and up to 10 percent requires the department head to submit a written explanation to Finance within 5 business days.

3.3 A variance of more than 10 percent requires a written justification and approval by the Chief Financial Officer (CFO) within 10 business days.

3.4 Any single transaction above USD 10,000 requires approval by two authorized approvers.

4. Cloud and Software Spending

4.1 Cloud services and software license spending is reviewed monthly by the IT Director and the Finance Controller.

4.2 If cloud spending exceeds its budget by more than 10 percent, the IT Director must provide a usage report and a cost-optimization plan within 15 business days.

4.3 If spending in a category increases for three consecutive months, Finance must perform a budget reforecast for that category.

5. Review of Unusual Transactions

5.1 Transactions flagged by statistical anomaly detection must be reviewed by the Finance Controller within 3 business days.

5.2 An anomaly flag is a trigger for review. It is not evidence of wrongdoing.

5.3 Payments dated on a weekend above USD 5,000 require documented approval from the department head.

5.4 A transaction using a department and category combination that has not been used before must be confirmed by the department head.

6. Escalation and Record Keeping

6.1 Items that remain unresolved after 10 business days are escalated to the CFO.

6.2 All variance explanations and transaction reviews must be retained for 7 years.